UNIT 8

FINANCIAL STATEMENT ANALYSIS

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Points to recall

The following points are to be recalled before learning financial statement analysis:

- Accounting principles
- Indian Accounting Standards
- Preparation of profit and loss account and balance sheet

Learning objectives

To enable the students to

- Understand the meaning and objectives of financial statement analysis
- Understand the tools of financial statement analysis
- Apply the tools to analyse the financial statements

Key terms to know

- Financial statements
- Financial statement analysis
- Common size statement
- Comparative statement
- Trend analysis

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